Future Gold Labs

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Weekly Gold Wrap

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I. Gold Price Recap

For the week ending September 25 (NY close), COMEX gold futures rose 0.52% on Friday (Sep 25) to settle at $4,321.40/oz, down 2.35% for the full week. COMEX silver futures climbed 1.11% on Friday to $64.730/oz, with a weekly loss of 3.60%. Precious metals remained under pressure this week. Hawkish FOMC remarks weighed on gold at the week's start. Mid-week, expectations for repairs to Saudi Arabia's East-West pipeline lifted, triggering a brief short-covering rally as oil prices retreated, though the bounce lacked stamina. The US Dollar and real US Treasury yields were the core headwinds for precious metals. Gold edged higher on Friday but closed lower over the week.

Gold stayed pressured this week by consecutive hawkish Fed commentary and robust US economic data pushing Treasury yields higher. Easing geopolitical tensions offered only fleeting support. Gold trended lower through the week, with weak bounce attempts over the weekend. Markets are looking ahead to next week's US Core PCE inflation and nonfarm payrolls data to further gauge the Fed's future rate path.

-Monday: Gold faced mild downward pressure at the weekly open amid a stronger US Dollar. Markets repriced a hawkish policy outlook after the September FOMC meeting. Falling crude oil prices failed to support gold. Earlier, Iran's Revolutionary Guard warned it would deploy different weapons across other regions if the US launched new military strikes. On Monday, the US envoy to the UN signaled a conciliatory tone, stating the US was open to negotiations provided Iran showed good faith.

-Tuesday: With easing geopolitical risk, gold found mild support and closed slightly higher, yet bullish momentum remained weak. Markets stayed on the sidelines, awaiting Fed speakers and US economic releases for directional cues.

-Wednesday: Fed Governor Michael Barr delivered strongly hawkish remarks, hinting that additional rate hikes would likely be needed amid rising upside inflation risks. Separately, September S&P Global PMI flash prints surprised sharply to the upside, underscoring economic resilience. The 10-year US Treasury yield surged above 5.1%, hitting its highest level since June 2007. Gold tumbled more than 1.5% on the day and fell below $4,300/oz. Deutsche Bank noted the fierce selloff in Treasuries; the jump in 10-year yields and a stronger US Dollar drove gold to its largest single-day drop in two weeks.

-Thursday: Philadelphia Fed President Anna Paulson maintained a hawkish stance, arguing the Fed may need another rate hike. She noted the September hike merely adjusted policy to better combat inflation, and policymakers would take all necessary steps to return inflation to the 2% target, confirming only that inflation had not worsened. On these expectations, the 10-year Treasury yield advanced further. Gold extended losses and dipped below $4,250/oz to mark the weekly low.

-Friday: US Treasury yields and the Dollar Index retreated modestly, though the pullback was limited.

Gold attempted a corrective bounce but lacked momentum and failed to hold above $4,300/oz. The complex remained under pressure heading into the weekend.

II. Key Drivers Behind Gold's Volatility

1) U.S. Economic Indicators Drive Sharp Correction in Gold

(1) **Major U.S. economic indicators released this week and their impact on gold prices**

- **US Sep S&P Global PMI Flash**

Manufacturing PMI flash 48.2, Services PMI flash 51.1. Manufacturing stayed in contraction territory while services remained expansionary. The economy retained resilience with marginal weakening in expansion momentum, showing divergent performance across sectors. The data was not weak enough to dispel Fed concerns over sticky inflation.

- **University of Michigan Consumer Sentiment & Inflation Expectations Final**

Sep Michigan Consumer Sentiment Index final reading 67.4, slightly revised up from flash. 1-year consumer inflation expectations edged down to 3.1%. The modest pullback in near-term inflation expectations alleviated market panic over energy-driven inflation.

- 1. (1) University of Michigan Consumer Sentiment & Inflation Expectations Final, September

University of Michigan Consumer Sentiment final reading stood at 48.1. One-year consumer inflation expectations rose to 4.6%, and long-term inflation expectations climbed to 3.4%. Higher inflation expectations deepened market concerns over sticky inflation.

- (2) August Durable Goods Orders

Headline durable goods orders were flat month-on-month. Ex-transportation core durable goods orders rose 0.7% MoM, reflecting solid goods demand and resilient economic fundamentals.

- (3) S&P Global US PMI Flash, September

US September S&P Global Manufacturing PMI flash at 57.0, Services PMI flash at 58.7, Composite PMI at 58.4. All readings rose sharply, indicating accelerated expansion in the private sector and far stronger-than-expected economic resilience. This boosted market pricing for additional Fed tightening.

- (4) Weekly Initial Jobless Claims

US initial jobless claims for the week ending Sep 19 printed at 197k, below consensus of 200k. The prior reading was also revised lower to 198k. Claims fell back below 200k, near a 57-year low, signalling an extremely tight labour market.

- (5) New Home Sales, August

Annualised new home sales rebounded 6.4% MoM to 684k, an eight-month high. Even as 10-year Treasury yields and mortgage rates hit multi-year highs, the rate-sensitive housing market avoided a downturn. Developer discounts and robust underlying demand drove the rebound, further demonstrating the US economy's strong immunity to high rates.

(2) Impact on Gold

This week's data collectively showed solid US economic resilience. Low initial claims reflected labour market tightness, while rising Michigan inflation expectations lifted pricing for further Fed tightening. Higher Treasury yields increased the opportunity cost of holding non-yielding gold and weighed on bullion prices.

2) Monetary Policy & Gold Market Impact

(1) Fed Developments & Official Views

- Against the backdrop of hot economic data, multiple senior Fed officials delivered remarks this week, forming a rare chorus of hawkish signals. The dot plot showed 16 out of 18 officials projected at least one more rate hike this year, sharply lifting market odds for a hike at the October 27

meeting.

- **Key Fed Leadership Remarks**

- **John Williams,** NY Fed President: Stated market expectations of an additional hike before year-end were reasonable. He emphasised the Fed would rely heavily on data accumulated between July and September to make decisions.

- Michael Barr, Fed Governor: Delivered clear hawkish signals and backed an October rate hike, greatly reinforcing market pricing for further tightening.

- **Regional Fed Presidents**

- Thomas Barkin, Richmond Fed: In his Sep 22 speech, he stressed inflation risks outweigh unemployment risks, the core reason behind his support for more hikes. He noted inflation is increasingly driven by strong aggregate domestic demand rather than purely supply-side shocks from geopolitics or supply chains.

- Beth Hammack, Cleveland Fed (new President): Warned at a conference on inflation drivers that underlying inflation pressures remain above the 2% target with sticky services inflation. She argued the AI-driven capital expenditure boom (demand side), paired with tariffs and oil prices (supply side), creates persistent shocks that risk entrenching high inflation expectations, requiring the Fed to maintain restrictive policy.

- Alberto Musalem, St Louis Fed: Believed tighter monetary policy may be required, yet reassured markets further tightening would not trigger a sharp spike in unemployment or recession given full employment.

(2) Market Watch Data

- **Prime Market Terminal Data:**

Per CME FedWatch Tool, after the September rate decision and stronger-than-expected US data, market odds of a 25bp hike in December rose further and stayed elevated. Markets began pricing up to two additional hikes this year. Rate cut expectations were pushed substantially further out. The core market narrative shifted from the terminal rate level to "higher rates for longer". The expected duration of restrictive policy exceeded prior baseline forecasts, sustaining upward pressure on long-end Treasury yields. The US Dollar remained firm on hawkish policy pricing and economic strength. Markets now price at least one 25bp hike, possibly consecutive hikes, at either the Oct 28 or Dec 9 meeting. Previously aggressive cut expectations have been materially pushed out to 2027.

(3) Impact on Gold Prices

.Collective hawkish Fed rhetoric alongside stronger economic data lifted odds of further tightening and delayed rate-cut expectations. This pushed long-end Treasury yields higher and lifted opportunity costs for gold, putting persistent overhead pressure on bullion. Gold still requires validation from upcoming inflation and jobs data; near-term volatility between bulls and bears has intensified.

3) Yields, USD & Gold Dynamics

(1) Dollar Index Behavior

DXY closed Friday at 100.97. The index traded sideways early in the week, rallied toward 101.40 mid-week on strong data, then retreated modestly from highs into Friday's close. Core drivers: September Composite PMI jumping to 58.4, initial claims falling to 197k (57-year low), and August new home sales surging. These strong fundamental prints resonated with hawkish Fed remarks, boosting pricing for "higher rates for longer". Although a pullback in crude oil late in the week eased inflation concerns and drove the Dollar down from weekly peaks, DXY stabilised above 101.

(2) **US Treasury Yields & Gold Dynamics**

.The US 10-year Treasury yield settled Friday at 5.17%, with an intraday peak of 5.23% – the highest level since 2007. The 30-year Treasury yield surged to 5.49%. Long bonds sold off sharply amid strong data, driving explosive yield gains. Context: The US Treasury launched up to USD 6bn in 10–20 year bond buybacks to improve liquidity. However, this liquidity boost was fully offset by repriced hawkish policy expectations and supply-demand imbalance after strong prints including a 5-year high PMI and better-than-expected flat August durable goods orders. Even with crude oil falling late Friday and trimming nominal inflation compensation, real yields remained elevated, supported by robust corporate capex and labour shortages.

(3) Impact on Gold

Strong US data and coordinated hawkish Fed remarks forced markets to price in more tightening and pare back easing expectations. A strong Dollar and multi-year high real Treasury yields materially raised opportunity costs for holding non-yielding gold.

4) Geopolitical Tensions & Safe-Haven Demand

(1) Geopolitical Tensions

1) US-Iran Tensions & Infrastructure Repairs

This was the first trading week after the September FOMC meeting. Trump's prior hawkish rhetoric kept market fears of a Middle East conflict escalation elevated. This week, however, neither side launched major new airstrikes. Relations remained in a state of "coexisting confrontation and negotiation signals" with controlled conflict intensity. The Strait of Hormuz remained open for normal shipping. Following drone attacks that shut Saudi Arabia's East-West pipeline, Saudi Aramco deployed ship-to-ship (STS) crude transfers out of Sohar Port in Oman to build an alternative export route. Officials expect the pipeline to restore roughly half its capacity within days. Markets assessed the probability of a full-scale war as low, and extreme risk premiums for supply disruption faded late in the week.

2) Broader Middle East Escalation: Lebanon-Israel Conflict

Beyond US-Iran tensions, hostilities between Israel and Hezbollah escalated sharply this week. Israel conducted multiple heavy airstrikes on targets in southern Lebanon and Beirut, partially reactivating geopolitical risk premiums. Still, major oil-producing nations were not drawn directly into combat, and risks to shipping lanes have not fully materialised.

3) Russia-Ukraine Conflict & Nuclear Policy Shift

No major frontline breakthrough occurred in the Russia-Ukraine war; both sides continued reciprocal long-range strikes. Ukraine deployed swarms of drones to hit targets around Moscow, while Russia launched airstrikes on Ukraine's military industrial and logistics sites. Late in the week, markets began pricing tail geopolitical risks driven by expected revisions to Russia's state nuclear deterrence doctrine and shifting Western stances on long-range weapons supplied to Ukraine, lifting long-run geopolitical uncertainty.

4) Crude Oil Supply-Demand Dynamics & Price Analysis

Global crude oil prices fell sharply this week. Early in the week, US-Iran rhetoric and Lebanon-Israel tensions lifted oil risk premiums. However, Saudi Arabia's alternative export route resolved pipeline disruption bottlenecks (Gulf crude loadings jumped from 2.9mn bpd to 3.7mn bpd). Combined with OPEC+ moving forward with a 188k bpd voluntary supply increase in September, concerns over supply surplus overwhelmed geopolitical fears, sending Brent and WTI sharply lower late in the week.

(2) Impact on Gold

Geopolitical developments created offsetting forces for gold this week. Early-week hawkish statements and deepened Russia-Ukraine strikes triggered brief safe-haven buying. Mid-week, as Saudi alternative supply lines came online and crude slumped, energy fears faded and pulled inflation expectations lower. Lower inflation expectations marginally reduced upward pressure on real Treasury yields. Nevertheless, extremely hot US PMI and jobless claims data capped safe-haven inflows. Gold trended lower and consolidated on the back of a stronger Dollar and elevated real yields.

5) Tariff Turmoil Drives Gold Swings

① Tariff & Trade Policy Developments

- Global Tariffs & WTO Disputes: The EU formally implemented provisional safeguard measures for grain-oriented electrical steel on Sep 25, imposing import quotas and tiered minimum import prices. Multiple US trade investigations targeting niche industrial goods remain ongoing. These are isolated sector-level cases with limited scope and no disruption to global supply chains; scattered probes did not trigger large market swings.
- US-China Tariff Dynamics: Original Section 301 tariffs remain unchanged. US and Chinese economic teams continued substantive negotiations on a framework for reciprocal tariff cuts covering USD 30bn worth of goods. No formal tariff adjustments took effect this week, and no new broad-based tariffs or exemptions were announced.

② Impact on Gold Prices

These trade measures are limited to specific industries with no broad escalation of trade conflict. Ongoing US-China trade talks offered no strong safe-haven impulse. Trade developments had limited impact on gold; the bullion narrative remained anchored to Fed rate-cut expectations.

6) Gold Market Observation

1. World Gold Council | You Asked, We Answered: The AI Boom and Gold

① Core Takeaway

Gold industrial demand is often underestimated by markets. While small relative to total gold demand, it represents rigid, reliability-focused structural demand and underpins gold's price floor. 2025 global technology-sector gold demand stood at 323 tonnes, flat vs 2024 despite the AI boom. Electronics accounts for 80% of industrial gold consumption and is the primary industrial use case.

② Booming AI Chips, Balanced Gold Demand

AI growth creates a tug-of-war for gold demand with offsetting forces, leaving total industrial consumption flat. High gold prices push electronics manufacturers to cut usage, aided by chip miniaturisation and higher integration that reduces gold per unit; low-end consumer electronics have eliminated gold entirely. On the other hand, rapid expansion in AI computing hardware lifts demand for gold in high-end chips, data centre hardware and high-precision communications gear where stability, corrosion resistance and conductivity are critical and gold cannot simply be removed. These opposing forces are balanced for now, so the AI boom delivers no near-term lift to industrial gold demand.

③ Long-Term Growth Driver: Co-Packaged Optics (CPO)

CPO is the most promising source of incremental industrial gold demand over the long run. Larger AI models and surging data traffic expose bandwidth and energy limits of traditional electrical interconnects for hyperscale AI data centres. CPO integrates optical components closely with processors to boost bandwidth, cut latency and reduce power consumption, becoming a core pillar of computing upgrades. Gold's superior conductivity, oxidation resistance and stability are used widely in CPO photonic

components, high-frequency electrodes and precision coatings. Nvidia and other leading tech firms are investing heavily in R&D and pilots. Widespread commercial adoption would deliver sustained, measurable incremental gold demand once deployed at scale.

④ Limited Substitution Potential; Gold Irreplaceable in High-End Applications

Easy, low-cost gold reduction or elimination has mostly been exhausted after years of technical progress. Bonding wires and coatings are already near physical minimum thickness, leaving scant room for further cuts. Low-end electronics can remove gold, yet high-end AI chips, server hardware, aerospace and safety-critical systems demand extreme long-term stability and near-zero failure tolerance. No alternative material matches gold's combined physical and chemical properties, locking in robust high-end industrial demand and supporting the floor of industrial gold consumption.

⑤ Other Industrial Applications: Wide Use but Minimal Gold Price Impact

Beyond computing hardware, gold is deployed in chemical catalysis, precision optics, aerospace and medical diagnostics. Gold nanoparticles are used in massive volumes for rapid diagnostic tests for malaria, sepsis and HIV. However, per-unit gold consumption in these applications is tiny. Total volumes are too small to shift global gold supply-demand balances and only illustrate gold's broad industrial utility.

⑥ Trading Conclusions for Gold Analysis

- Near term: AI expansion cannot boost gold demand. Chip miniaturisation and cost reduction fully offset higher gold consumption from computing hardware expansion; industrial demand is not a market catalyst.
- Longer term: CPO technology represents the only potential bullish variable for industrial gold demand and may bring structural demand growth, though benefits will not materialise quickly.
- Price-driver hierarchy: Gold prices are dominated by Fed monetary policy, real US Treasury yields and geopolitical risk. Industrial demand has low elasticity. AI is only a long-run secondary structural factor and will not alter gold's main macro trend.
- Demand floor: Robust demand in high-precision manufacturing and limited substitution underpin resilient industrial gold consumption.

III. Outlook & Key Catalysts

➢ **Next Week's Focus:**

Sep 28 (Mon): Dallas Fed Manufacturing Index, September

Sep 29 (Tue): US JOLTS Job Openings (Aug), S&P CoreLogic Case-Shiller Home Price Index

Sep 30 (Wed): US Q2 GDP Final, Personal Income & Spending (Aug), Core PCE Price Index, EIA Crude Oil Inventories

Oct 01 (Thu): Weekly Initial Jobless Claims, ISM Manufacturing PMI (Sep)

Oct 02 (Fri): Nonfarm Payrolls, Unemployment Rate & Labour Force Participation Rate (Sep)

Key Market Focus: Post-FOMC, markets centre on Core PCE inflation and nonfarm payrolls. These releases validate the persistence of US inflation cooling and labour market resilience, directly revising Fed rate-cut odds and driving the US Dollar, Treasury yields and gold prices. GDP, manufacturing PMI and job openings will help cross-check economic momentum and trigger short-term volatility.

Geopolitical & Trade Risks: US-Iran tensions in the Middle East remain fluid. Periodic flare-ups may lift crude prices and inflation expectations. Expectations for reciprocal US-China tariff cuts

continue to simmer. Trade sentiment may create temporary market pulses, but these will not override gold's core macro drivers.

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